workdays per week are reduced.
2.Rotation of Workers - employees are rotated or alternately provided work within the week.
3.Forced Leave - employees are required to go on leave for several days or weeks utilizing their leave credits, if any.

Requirements:

1.Prior consultation and due notice.
2.The terms must be acceptable to both the employer and employees.
3.Posting a copy of the Advisory in a conspicuous location in the workplace. 4.Notify the DOLE through the Regional / Provincial / Field Office which has jurisdiction over the workplace.

VACATION AND SICK LEAVE

- Matter of management prerogative of CBA
- Not statutorily required
- GR: non-commutative. Must be enjoyed within 1 year
- Exception: when the labor contract or the established practice of the employer provides otherwise

▪ Paternity Leave (RA 8187);
Coverage and Eligibility a
a. Who are entitled?

➢ Married Male Employees: Only legally married, male employees are eligible. The law does not cover common-law partners or live-in arrangements without a valid marriage contract. .Private Sector and Public Sector Employees: It covers married male employees in both private establishments and government offices. .Regular and Non-Regular Employees: There is no distinction in terms of employment status. Whether the male employee is on probationary, regular, contractual, or casual status, he is entitled to paternity leave as long as the conditions are met. .Local or Overseas Employment: The law makes no express exclusion based on work location. Thus, a married male employee working in the Philippines is covered. Meanwhile, government employees also enjoy the same benefit under relevant Civil Service rules.

Conditions for Availment:

➢ Legitimate Spouse's Delivery or Miscarriage: The entitlement arises upon the birth or miscarriage of the employee's legitimate spouse.
➢ Notification to Employer: The employee must notify his employer of his wife's pregnancy and the expected date of delivery within a reasonable period. Advance notice is crucial for planning and management. While the law itself is silent on the exact timing, the Department of Labor and Employment (DOLE) encourages prompt and early notice.
➢ Employment at the Time of Birth/Miscarriage: The employee must be employed at the time the child is born or when the miscarriage

occurs.

Duration and Number of Times Availment is Allowed

a. Duration:

The law grants seven (7) calendar days of paternity leave with full pay. These seven days are intended to be consecutive calendar days, not working days.

b. Limitation on Frequency:

A married male employee can avail of the paternity leave for the first four (4) deliveries or miscarriages of his legitimate spouse.

This can be summarized as follows:

1st child: Eligible
2nd child: Eligible
3rd child: Eligible
4th child: Eligible
5th and subsequent children: No longer covered by the paternity leave benefit

Miscarriages (including deliveries of stillborn children) are counted as part of these four availments.

Coordination With Other Leaves

Paternity Leave Is a Separate Benefit: Paternity leave is a benefit separate and distinct from the employee's other leave entitlements (such as service incentive leave under the Labor Code, vacation leaves, or sick leaves provided by company policy or collective bargaining agreements).

Non-Convertible to Cash: If unused, paternity leave cannot be converted to its cash equivalent. Unlike some accrued leave benefits that can be monetized upon separation or year-end, unused paternity leave simply lapses.

j. Service Charges, RA No. 11360, DO No. 242-24

- service charges/fees collected by hotels, restaurants and similar establishments
- all employees are covered regardless of position or status
- POOLED TIPS
  - Does not collect service charges
  - Practice of pooling tips given voluntarily by customers
  - Distributed in the same manner as service charges

- Distribution of Service Charges
  - 1.100% Distribution to Employees:
    - Under R.A. No. 11360, the total amount of service charges collected must be distributed in full (100%) to all covered rank-and-file employees. Management no longer retains any percentage.
  - 2. Equitable Sharing Mechanism:
    - 1. The law and its implementing rules encourage a fair and reasonable distribution scheme. All covered employees who contribute to the overall customer service experience are entitled to a share.
    - 2. In the absence of an existing or collectively bargained agreement, the default method is to distribute the service charges proportionately to the number of hours worked or the basic wage structure, ensuring that all employees who had contributed to the operations during the period that the charges were collected receive a fair portion.

- 3. If there is an established agreement, such as a Collective Bargaining Agreement (CBA) or a company policy known to employees, that sets a specific distribution method, that agreement governs-provided it mets the full distribution requirement.

1.Frequency of Distribution:

1. Service charges must be distributed not less than once every two (2) weeks or twice a month at intervals not exceeding sixteen (16) days.
2. Employers must integrate the distribution schedule seamlessly into the payroll process, ensuring transparency and timely remuneration.

2.Transparency and Record-Keeping:

1. Employers are required to keep detailed records of the total service charges collected and the corresponding distribution to employees.
2. Establishments must make a full accounting of service charges received available to employees, ensuring transparency and preventing disputes.
3. Employees or their representatives may examine these records at reasonable times to verify accurate distribution.

Auto Bus Transport Systems, Inc. v. Bautista, G.R. No. 156367, 16 May 2005

We are not persuaded. At this point, it is necessary to stress that the definition of a "field personnel" is not merely concerned with the location where the employee regularly performs his duties but also with the fact that the employee's performance is unsupervised by the employer. As discussed above, field personnel are those who regularly perform their duties away from the principal place of business of the employer and whose actual hours of work in the field cannot be determined with reasonable certainty. Thus, in order to conclude whether an employee is a field employee, it is also necessary to ascertain if actual hours of work in the field can be determined with reasonable certainty by the employer. In so doing, an inquiry must be made as to whether or not the employee's time and performance are constantly supervised by the employer.

As observed by the Labor Arbiter and concurred in by the Court of Appeals:
It is of judicial notice that along the routes that are plied by these bus companies, there are its inspectors assigned at strategic places who board the bus and inspect the passengers, the punched tickets, and the conductor's reports. There is also the mandatory once-a-week car barn or shop day, where the bus is regularly checked as to its mechanical, electrical, and hydraulic aspects, whether or not there are problems thereon as reported by the driver and/or conductor. They too, must be at specific place as [sic] specified time, as they generally observe prompt departure and arrival from their point of origin to their point of destination. In each and every depot, there is always the Dispatcher whose function is precisely to see to it that the bus and its crew leave the premises at specific times and arrive at the estimated proper time. These, are present in the case at bar. The driver, the complainant herein, was therefore under constant supervision while in the performance of this work. He cannot be considered a field personnel

We agree in the above disquisition. Therefore, as correctly concluded by the appellate court, respondent is not a field personnel but a regular employee who performs tasks usually necessary and desirable to the usual trade of petitioner's business. Accordingly, respondent is entitled to the grant of service incentive leave.

Cases:

Case	Janice L. Teologo and Jennifer Delos Santos v. People of the Philippines G.R. No. 238383, April 02, 2025 Second Division
Facts	Petitioners Janice L. Teologo and Jennifer Delos Santos were branch managers of a Shakey's Pizza branch operated by franchise holder Big G Philfoods & Entertainment, Inc. (Big G). Big G regularly issued checks for encashment and distribution to rank-and-file employees representing their statutory collected shares in the branch service charges for June to September 2009. Big G also prepared monthly payroll sheets reflecting the specific computation each worker was to receive. Employees Ingimar Buenaventura and Mark Christopher Quetua were made to sign the payroll sheets acknowledgeing receipt, but petitioners withheld the money and never disbursed the amounts. The employees reported the scheme after an internal audit commenced. Petitioners claimed that the service charges were withheld and reallocated pursuant to an unwritten company policy because the employees had incomplete requirements, but they failed to identify any workers who supposedly received the redistributed funds. The RTC convicted petitioners of Qualified Theft under Article 310 in relation to Article 308 of the Revised Penal Code (RPC), which the Court of Appeals affirmed.
Issue	Whether the petitioners are guilty beyond reasonable doubt of Qualified Theft under Article 310 of the RPC, or only Simple Theft under Article 308, for unlawfully withholding and taking the employees' shares in the service charges collected by the establishment.
Held	**Petitioners are guilty only of Simple Theft under Article 308 of the Revised Penal Code, not Qualified Theft.** ***Verbatim Legal Basis:*** **Article 308, Revised Penal Code:** *"Art. 308. Who are liable for theft. — Theft is committed by any person who, with intent to gain but without violence against, or intimidation of persons nor force upon things, shall take personal property of another without the latter's consent."* **Article 310, Revised Penal Code:** *"Art. 310. Qualified theft. — The crime of theft shall be punished by the penalties next higher by two degrees than those respectively specified in the next preceding article, if committed by a domestic servant, or with grave abuse of confidence, or if the property stolen is motor vehicle, mail matter or large cattle or consists of coconuts taken from the premises of the plantation or fish taken from a fishpond or fishery, or if property is taken on the occasion of fire, earthquake, typhoon, volcanic eruption, or any other calamity, vehicular accident or civil disturbance."* *(In relation to Article 96 of the Labor Code, as amended by R.A. No. 11360, governing the mandatory distribution of service charges collected by hotels, restaurants, and similar establishments).*

Ratio	1. **Ownership and Constructive Possession of Service Charges:** Service charges collected by restaurants belong by mandate of labor standard laws to the covered employees. Once the employer computes the payroll and earmarks the specific amounts for the employees, and the employees sign the payroll sheets, they acquire constructive possession and immediate entitlement to dominion over said property. Depriving them of these funds amounts to an unlawful taking of personal property belonging to another. 2. **Absence of Abuse of Confidence vis-à-vis Victims:** For theft to be qualified by grave abuse of confidence under Article 310, the trust reposed must exist between the offender and the victim whose property was taken. While petitioners enjoyed the trust and confidence of their *employer* (Big G) as branch managers, the stolen property belonged to their *co-employees / subordinates* (Buenaventura and Quetua). The relationship between managerial employees and rank-and-file workers does not involve the fiduciary trust contemplated by Article 310 of the RPC. Hence, the qualifying circumstance cannot be appreciated, reducing the crime to Simple Theft.
Fallo	**WHEREFORE**, the Petition is **PARTLY GRANTED**. The Decision of the Court of Appeals is **AFFIRMED with MODIFICATION**. Petitioners Janice L. Teologo and Jennifer Delos Santos are found **GUILTY** beyond reasonable doubt of the crime of **SIMPLE THEFT** under Article 308 of the Revised Penal Code, sentenced to suffer imprisonment of six (6) months of *arresto mayor*, and ordered to indemnify the private complainants the withheld service charges in the amount of P9,569.76, plus legal interest of six percent (6%) per annum from the finality of this Decision until fully paid. **SO ORDERED.**

Case	Royal Plant Workers Union (ROPWU) v. Coca-Cola Bottlers Philippines, Inc. - Cebu Plant G.R. No. 198783, April 15, 2013 Third Division, Mendoza, *J.*
Facts	In 1974, Coca-Cola Bottlers Phils., Inc. (CCBPI) provided chairs to bottling operators of its Bottling Line 2 upon their request. In September 2008, CCBPI removed the chairs pursuant to its "I Operate, I Maintain, I Clean" program, which required operators to be constantly mobile to inspect, operate, and maintain machines with moving parts, avoiding the occupational hazard of falling asleep. To compensate, CCBPI revised the work rotation: operators were given a 30-minute seated break after every 1.5 hours of work (upgraded from a 30-minute break after 2.5 hours of continuous work). ROPWU protested the removal of the chairs through the CBA grievance machinery and elevated the dispute to voluntary arbitration. The Arbitration Committee ordered CCBPI to restore the chairs, holding that the practice had ripened into a company benefit. The Court of Appeals reversed the arbitral ruling, finding that the removal of chairs was a valid exercise of management prerogative.
Issue	Whether the employer's removal of the bottling operators' chairs from the production line constitutes an infringement of labor standards and a violation of the rule against diminution of benefits, or a valid exercise of management prerogative.
Held	**The removal of the chairs was a valid exercise of management prerogative and did not violate labor standards or the principle of non-diminution of benefits.** ***Verbatim Legal Basis:*** **Article 132 [now renumbered], Labor Code of the Philippines:** *"Art. 132. Facilities for women. — The Secretary of Labor and Employment shall establish standards that will insure the safety and health of women employees. In appropriate cases, he shall, by regulation, require any employer to:* *(a) Provide seats proper for women and permit them to use such seats when they are free from work and during working hours, provided they can perform their duties in this position without detriment to efficiency;* *(b) To establish separate toilet rooms and lavatories for men and women and provide at least a dressing room for women;* *(c) To establish a suitably located pantry or dining room, and to provide adequate supply of potable water, and;* *(d) To furnish other facilities that will ensure the health and safety of women workers."*
Ratio	1. **No Statutory Mandate for Male Operators' Chairs:** Under the Labor Code, the statutory requirement to furnish seats applies specifically to women employees (Article 132). There is no statutory provision requiring an employer to maintain chairs for male bottling operators in an active industrial line where the nature of the duties requires mobility. 2. **Management Prerogative and Occupational Safety:** The right of an employer to regulate all aspects of employment—including work systems, operational methods, and working conditions—is broad, subject only to

	limitations provided by law, CBA, and general principles of fair play and justice. The removal of chairs was instituted in good faith to eliminate the risk of operators falling asleep near machinery with moving parts, and CCBPI compensated for the change by reducing continuous work intervals from 2.5 hours to 1.5 hours and increasing seated rest breaks to 30 minutes. 3. **Chairs Not a Vested Benefit:** A company practice does not ripen into an unalterable benefit unless it is characterized by voluntary, regular, and continuous grant over a long period under the concept of a wage supplement or fringe benefit. Providing chairs on an industrial factory line was a temporary concession tied to working methodology, not a monetary or economic benefit protected against diminution.
Fallo	**WHEREFORE**, premises considered, we hereby **DENY** the petition. We **AFFIRM** the August 26, 2011 Decision of the Court of Appeals in CA-G.R. SP No. 05200. **SO ORDERED.**

Case	Lourdes C. Rodriguez v. Park N Ride Inc., Vicest (Phils) Inc., Grand Leisure Corp., and Spouses Vicente & Estelita B. Javier G.R. No. 222980, March 20, 2017 Second Division, Leonen, *J.*
Facts	In 1984, Lourdes Rodriguez was hired by the Spouses Javier as a restaurant supervisor and later served as Administrative and Finance Assistant across their various business entities, including Park N Ride, Inc. After 25 years of service, Rodriguez tendered her resignation in 2009 following an altercation with Estelita Javier concerning unliquidated cash advances. Rodriguez filed a complaint for constructive illegal dismissal, non-payment of Service Incentive Leave (SIL) pay for her entire 25 years of service, 13th month pay differentials, and damages. She claimed she was subjected to constant humiliation, shouting, and hostile working conditions. The Labor Arbiter dismissed the complaint, ruling she voluntarily resigned. The CA affirmed the absence of constructive dismissal, but awarded SIL pay limited only to the three (3) years immediately preceding her resignation, ruling that claims prior thereto had prescribed under Article 291 [now Art. 306] of the Labor Code.
Issues	1. Whether petitioner Rodriguez was constructively dismissed from her employment. 2. Whether her monetary claim for Service Incentive Leave (SIL) pay covering her entire 25 years of employment had prescribed under the 3-year prescriptive rule of the Labor Code.
Held	**1. Petitioner was not constructively dismissed; her resignation was voluntary.** **2. Her claim for SIL pay covering the entire 25-year duration of her employment has NOT prescribed; she is entitled to full SIL pay from 1984 to 2009.** ***Verbatim Legal Basis:*** **Article 95, Labor Code of the Philippines:** *"Art. 95. Right to service incentive leave. — (a) Every employee who has rendered at least one year of*

	service shall be entitled to a yearly service incentive leave of five days with pay. *(b) This provision shall not apply to those who are already enjoying the benefit herein provided, those already enjoying vacation leave with pay of at least five days and those employed in establishments regularly employing less than ten employees or in establishments exempted by the Secretary of Labor and Employment after considering the viability or financial condition of such establishment.* *(c) The service incentive leave shall be commutable to its money equivalent if not used or exhausted at the end of the year.*" **Article 291 [now Article 306], Labor Code of the Philippines:** "*Art. 291. Money claims. — All money claims arising from employer-employee relations accruing during the effectivity of this Code shall be filed within three (3) years from the time the cause of action accrued; otherwise they shall be forever barred.*"
Ratio	1. **Constructive Dismissal Negated:** Constructive dismissal exists when an employee is compelled to give up employment due to unbearable, discriminatory, or offensive actions taken by the employer that render continued service impossible. Natural reprimands, disagreements, or spontaneous emotional outbursts by employers regarding unliquidated funds do not equate to a hostile work environment or illegal dismissal. 2. **Commencement of Prescriptive Period for SIL (Auto Bus Doctrine applied):** Under Article 95 of the Labor Code, unused SIL is commutable to cash at the end of the year, but the employee has the option to accumulate it over the years. Because of the unique cumulative and commutable nature of SIL, the cause of action for its monetary conversion does not accrue at the end of each calendar year. Rather, the cause of action arises only when the employer refuses to pay its cash value upon demand or upon the employee's separation from employment. Since Rodriguez filed her complaint shortly after her resignation in 2009, her claim for all 25 years of accumulated SIL had not prescribed.
Fallo	**WHEREFORE**, the Petition is **PARTIALLY GRANTED**. The Court of Appeals Decision dated December 15, 2015 in CA-G.R. SP No. 125440 is **AFFIRMED with MODIFICATION** as to the amounts awarded. Respondents are **ORDERED** to pay Lourdes C. Rodriguez the following: 1) Service incentive leave pay for the years 1984 to 2009; 2) 13th month pay differential for the years 2006 to 2008; 3) Proportionate 13th month pay for the year 2009; and 4) Attorney's fees equivalent to ten percent (10%) of the total monetary award. All amounts awarded shall be subject to interest of six percent (6%) per annum, from the date of finality of this Decision, until fully paid. **SO ORDERED.**

Case	Dela Rosa Liner, Inc. and/or Rosauro Dela Rosa, Sr. and Nora Dela Rosa v. Calixto B. Borela and Estelo A. Amarille G.R. No. 207286, July 29, 2015 Second Division, Brion, *J.*
Facts	Respondents Calixto Borela (driver) and Estelo Amarille (conductor) were employees of Dela Rosa Liner, Inc. The parties previously had an illegal dismissal case before the NLRC, which was subsequently settled via a court-approved Compromise Agreement during certiorari proceedings before the Court of Appeals (CA-G.R. SP No. 118038). Under the compromise, Borela and Amarille received P350,000.00 and P150,000.00, respectively, and signed a general quitclaim waiving all claims, known or unknown, arising from their employment. Shortly thereafter, respondents filed a second complaint before the Labor Arbiter claiming statutory labor standards benefits, including underpayment of wages under various Wage Orders, regular holiday pay, overtime pay, rest day premium pay, and 13th month pay differentials. Dela Rosa Liner moved to dismiss on grounds of res judicata and forum shopping, contending that the broad quitclaim in the compromise agreement barred any further money claims. The Labor Arbiter dismissed the case, but the NLRC and Court of Appeals reinstated the complaint.
Issue	Whether a compromise agreement and general quitclaim entered into in an illegal dismissal case bars the subsequent filing of a complaint for statutory labor standards benefits (holiday pay, overtime pay, wage differentials, 13th month pay) under the principles of res judicata, forum shopping, and waiver.
Held	**The compromise agreement and quitclaim in the illegal dismissal case do NOT bar the second complaint for statutory labor standards benefits.** ***Verbatim Legal Basis:*** **Article 2036, Civil Code of the Philippines:** "*Art. 2036. A compromise comprises only those objects which are definitely stated therein, or which by necessary implication from its terms should be deemed to have been included in the same.* *A general renunciation of rights is understood to refer only to those that are connected with the dispute which was the subject of the compromise.*" *(In relation to Title I, Book Three of the Labor Code on Conditions of Employment and Wage Orders).*
Ratio	1. **No Identity of Causes of Action (Forum Shopping / Res Judicata inapplicable):** The first complaint was rooted in illegal dismissal and unfair labor practices (termination of employment), where the main reliefs sought were reinstatement and full backwages. The second complaint was anchored on the non-payment of statutory minimum labor standards benefits (overtime, holiday pay, service incentive leave, minimum wage compliance) earned during actual service. The evidence required to substantiate illegal termination is fundamentally different from the payroll records and time sheets required to establish labor standards violations. 2. **Strict Construction of General Quitclaims:** Under Article 2036 of the Civil Code, a compromise only settles

	items specifically identified or necessarily implied from the dispute. A sweeping waiver of *"any and all claims, known or unknown"* cannot extinguish mandatory statutory rights conferred by labor standards legislation unless there was clear intent, definite discussion, and adequate consideration directly compensating for those specific statutory entitlements. The amounts paid in the compromise were reasonable equivalents only of the illegal dismissal settlement and did not satisfy the distinct labor standards money claims.
Fallo	**WHEREFORE**, premises considered, the petition for review on certiorari is **DISMISSED** for lack of merit. The assailed decision and resolution of the Court of Appeals are **AFFIRMED**. **SO ORDERED.**

X. WAGES

Enacted in 1989, R.A. No. 6727, also known as the Wage Rationalization Act, transformed the approach to minimum wage determination.

It established the Regional Tripartite Wages and Productivity Boards (RTWPBs) in every region. These Boards have the power to determine and fix minimum wage rates per region, industry, and sector.

This regionalization of wage-fixing acknowledges disparities in the cost of living, economic conditions, and productivity levels across different parts of the country.

It provides that adjustments in minimum wage rates must be based on standards such as the needs of workers and their families, capacity of employers to pay, cost of living, and the requirements of economic and social development.

Tax Exemption for Minimum Wage Earners (Republic Act No. 9504)

1. R.A. No. 9504, which took effect in 2008, amended the National Internal Revenue Code to exempt minimum wage earners from payment of income tax.

2. This legislative measure is directly linked to minimum wage laws as it seeks to ensure that those earning at or near the legally mandated minimum wage enjoy the full benefit of their earnings without deduction of personal income tax.

Barangay Micro Business Enterprises (R.A. No. 9178)

1. The Barangay Micro Business Enterprises Act of 2002 encourages the formation and growth of small community- based businesses.

2. Qualified BMBEs may be exempted from the coverage of the minimum wage law, subject to conditions set forth by the Department of Labor and Employment (DOLE) and the Department of Trade and Industry (DTI).

3. Instead of minimum wage exemptions granting carte blanche to pay arbitrary amounts, employers under BMBE arrangements are still required to provide employees with a compensation package that does not violate other labor standards, and BMBE employees remain protected

against abusive labor practices.

a. Basic Principles

i. Wage defined; twin attributes

WAGE DEFINED; TWIN ATTRIBUTES.

- REMUNERATION OR EARNINGS, CAPABLE OF BEINS EXPRESSED IN TERMS OF MONEY. WHETHER FIXED OR ASCERTAINED ON A TIME, TASK, PIECE OR COMMISSION BASIS OR OTHER METHOD OF CALCULATING THE SAME
- PAYABLE BY AN EMPLOYER TO AN EMPLOYEE UNDER WRITTEN OR UNWRITTEN CONTRACT OF EMPLOYMENT FOR WORK DONE OR TO BE DONE OR FOR SERVICES RENDERED OR TO BE RENDERED AND INCLUDES THE FAIR AND REASONABLE VALUE
- 2 COMPONENT PARTS:
  - CASH WAGE - TAKES THE FORM OF READY MONEY PAID BY ER FOR SERVICES RENDERED BY THE EE.
  - FACILITIES - ARTICLES OR SERVICES CUSTOMARILY GIVEN FOR THE BENEFIT OF THE EE AND ARE VOLUNTARILY ACCEPTED BY HIM.
- NO WORK- NO PAY PRINCIPLE
- FAIR DAY'S WAGE FOR A FAIR DAY'S LABOR REMAINS AS THE BASIC FACTOR IN DETERMINING EMPLOYEES' WAGES AND BACK WAGES
- UNLESS EMPLOYEE WAS WILLING AND READY TO WORK BUT WAS ILLEGALLY LOCKED OUT OR SUSPENDED

ii. Wage versus salary; only for purposes of Article 1708 of the Civil Code

WAGE VERSUS SALARY; ONLY FOR PURPOSES OF ARTICLE 1708 OF THE CIVIL CODE;

- ART 1708 OF THE CIVIL CODE:
- THE LABORER'S WAGES SHALL NOT BE SUBJECT TO EXECUTION OR ATTACHMENT, EXCEPT FOR DEBTS INCURRED FOR FOOD, SHELTER, CLOTHING AND MEDICAL ATTENDANCE.
- FOR PURPOSES OF THIS ARTICLE:
  - WAGES - MANUAL LABOR, SKILLED OR UNSKILLED, PAID AT STATED TIMES AND MEASURED BY THE DAY, WEEK OR MONTH OR SEASON
- PAY FOR A LOWER AND LESS RESPONSIBLE CHARACTER OF EMPLOYMENT
- SALARY - HIGHER DEGREE OF EMPLOYMENT OR A SUPERIOR GRADE OF SERVICES AND IMPLIES A POSITION OF OFFICE
- SUGGESTIVE OF A LARGER AND MORE IMPORTANT SERVICE
- PURPOSE: TO FAVOR THOSE WHO ARE LABORING MEN OR WOMEN IN THE SENSE THAT THEIR WORK IS MANUAL
  - PERSONS BELONGING TO THIS CLASS USUALLY LOOK FORWARD TO THEIR REWARD OF A DAY'S LABOR FOR IMMEDIATE OR PRESENT SUPPORT AND SUCH PERSONS ARE MORE IN NEED OF EXEMPTION

iii. Facilities as part of wages; requirements for deduction

FACILITIES AS PART OF WAGES; REQUIREMENTS FOR DEDUCTION

- FACILITIES - ITEMS OF EXPENSE NECESSARY FOR THE LABORER'S AND HIS FAMILY'S EXISTENCE AND SUBSISTENCE SO THAT BY EXPRESS PROVISION OF LAW THEY FORM PART OF THE WAGE AND WHEN FURNISHED BY THE ER ARE DEDUCTIBLE THEREFROM
  - IF NOT FURNISHED, EMPLOYEE WOULD SPEND AND PAY FOR THEM JUST THE SAME
  - DO NOT INCLUDE PROFITS - FAIR AND REASONABLE VALUE
  - TO BE DEDUCTIBLE OR CHARGEABLE = NECESSARY THAT HE MUST RECEIVE THEM AND WRITTEN ACCEPTANCE AS VOLUNTARY
  - CHARGED AT FAIR AND REASONABLE VALUE

iv. Supplement not part of wages;

- SUPPLEMENTS - EXTRA REMUNERATION OR SPECIAL PRIVILEGES OR BENEFITS GIVEN TO OR RECEIVED BY THE LABORERS OVER AND ABOVE THEIR ORDINARY EARNINGS OR WAGES
- DISTINCTION IS AS TO ITS PURPOSE
- PURPOSE TEST: IF THE BENEFIT OR PRIVILEGE GRANTED TO THE EMPLOYEE IS CLEARLY FOR THE EMPLOYER'S CONVENIENCE
- VACATION LEAVE, OT PAY IN EXCESS OF THE LEGAL RATE, PROFIT SHARING BENEFITS, SICK PENSION, RETIREMENT AND DEATH BENEFITS, CHRISTMAS BONUS

v. Bonus

13TH MONTH PAY LAW

- PD 851 OF 13TH MONTH PAY LAW
- PRO RATA ACCORDING TO THE NUMBER OF MONTHS WITHIN A YEAR THAT THE EMPLOYEE HAS RENDERED SERVICE TO THE ER
- ALL EMPLOYERS ARE REQUIRED TO PAY THEIR RANK-AND-FILE EMPLOYEES THE 13TH MONTH PAY NOT LATER THAN DEC 24 OF EVERY YEAR
- SHOULD HAVE WORKED FOR AT LEAST 1 MONTH DURING A CALENDAR YEAR
- ALL RANK-AND FILES IRRESPECTIVE OF THE METHODS BY WHICH THEY ARE PAID
- 1/12 OF THE TOTAL SALARY OF AN EMPLOYEE WITHIN THE CALENDAR YEAR
- BASIC SALARY - INCLUDES ALL REMUNERATIONS OR EARNINGS PAID BY AN ER TO AN EE FOR SERVICES RENDERED, BUT DOES NOT INCLUDE ALLOWANCES AND MONETARY BENEFITS WHICH ARE NOT CONSIDERED EQUIVALENT OF UNUSED VACATION AND SICK LEAVE CREDITS, OT, PREMIUM, NIGHT DIFFERENTIAL AND HOLIDAY PAY.

- ✓ INCLUDES COLA
- ✓ COMMISSION DEPENDS ON THE CIRCUMSTANCES OF THE CASE OR CONDITIONS OF PAYMENT
- ✓ IF EARNED BY SALESMEN=FORM PART OF THEIR BASIC SALARY
- ✓ IF MEDICAL REP = PAID AS PRODUCTIVITY BONUSES
- ✓ DISMISSED EE ALSO ENTITLED TO THE PROPORTIONATE AMOUNT OF 13TH MONTH PAY
- ✓ EMPLOYERS NOT COVERED BY 13TH MONTH PAY LAW:
  - GOVERNMENT
  - EMPLOYERS ALREADY PAYING THEIR EMPLOYEE BONUS OR MORE IN A CALENDAR YEAR WHICH IS AN EQUIVALENT OF 13TH MONTH PAY
  - KASAMBAHAY LAW ALREADY REQUIRES PAYMENT OF 13TH MONTH PAY
  - THOSE PAID ON PURELY COMMISSION, BOUNDARY OR TASK BASIS
  - THOSE PAID A FIXED AMOUNT OF PERFORMING SPECIFIC WORK
  - SEAFARERS, MANAGERIAL EMPLOYEES